

Saturday, 26th November 2022 (Continuous Assignment)

I Define the following concepts: (4 points)

- Economic agent
- Investment
- Inflation
- Money erosion

III Keynes' consumption function and criticism (5 points)

VI Multiplier: definition and application on four sectors economies (5 points)

Exercise (6 points)

Let's consider the following relations:

$$Y = C + I; C = 50 + 0,8Y; I_s = 50$$

- 1) What is permanent income? (1 pt)
- 2) Draw the consumption function (1.5pt)
- 3) Draw the global demand function (1pt)
- 4) Write the equations of consumption function in short run and in long run (1.5 pt)
- 5) Find graphically the equilibrium level of income (1pt)